Bocconi

SHAREHOLDER RIGHTS AND CORPORATE GOVERNANCE 30060 - MANAGEMENT

Management Book - Chapter 3

Department of Management & Technology

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AGENDA

1.0

SHAREHOLDER OBJECTIVES AND RIGHTS

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We define **SHAREHOLDERS** as

Investors or stockholders who own a corporation through purchase of company stock. They are a company's most important market stakeholders

Poll time!

To what extent should shareholders have a say in company activities?

A) Fully involved

B) Say only on major decisions

C) No interference

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Types of shareholders

Individual

- People who directly own stock shares issued by companies
- Also known as “Main Street” investors

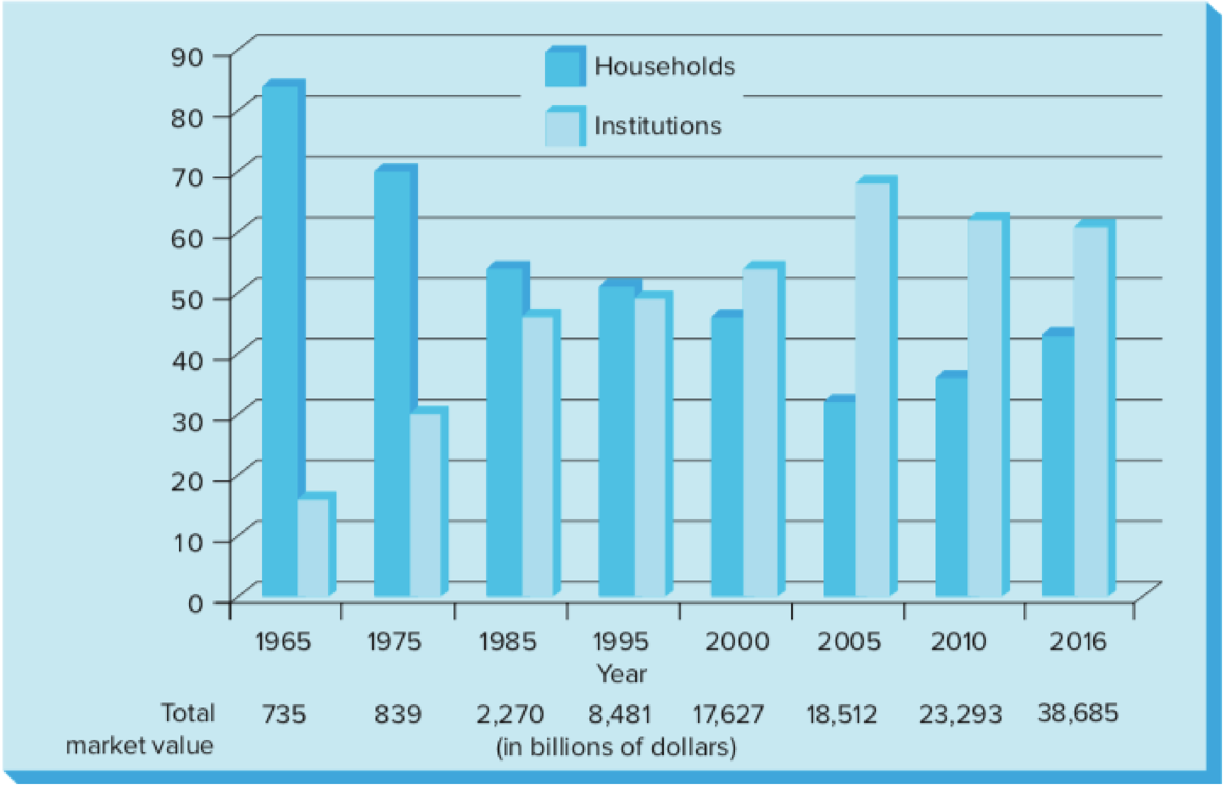
Institutional

- Pensions, mutual funds, insurance companies and university endowments who own stock
- Also known as “Wall Street” investors

Ownership trends

Institutional ownership on the rise

Institutions account for 60% of all stocks/equities owned in the US



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Types of ownership

PUBLIC LIMITED COMPANY

- Offers shares to the general public
- Limited liability
- All listed companies are public
- Demanding document filing requirements

PRIVATE LIMITED COMPANY

- Does not offer shares to the general public
- The number of members is often limited
- Document filing requirements are not as demanding

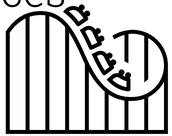
Would you be interested in owning Apple's shares? Why?

Do you know the number of outstanding shares that Apple has?

Apple’s stock price

Objectives of stock ownership

Making money through rise and fall of stock prices



When stock prices rise (called *capital appreciation*) stockholders receive share of company's earnings (called *dividends*)

Stock prices are affected by both the company performance and overall movement of the stock market

Varied shareholder interests – some seek long-term appreciation while others seek short-term returns

Shareholders' legal rights

- To receive dividends, if declared
- To vote on:
  - Members of board of directors
  - Major mergers and acquisitions
  - Charter and bylaw changes
  - Proposals by stockholders
- To receive annual reports on the company's financial condition
- To bring shareholder suits against the company and officers
- To sell their own shares of stock to others

2.0

CORPORATE GOVERNANCE AND BOARD OF DIRECTORS

Who protects shareholder rights?

We define **CORPORATE GOVERNANCE** as

Process by which a company is controlled or governed through systems of internal governance that determine overall strategic direction and balance sometimes divergent interests

Shareholders

Decide about the constitution or termination of the firm, approval or rejection of financial statements, removal and compensation of board of directors, mergers, acquisition, ..

Key shareholders

Vanguard

BlackRock

elect

Board of Directors

Representative of shareholders
The board of directors control managers

President and chairman of the Board

choose

Top Management

Manage every day activities and operations

CEO

Role of board of directors

— Board of directors (BoD) is central to governance

— BoD comprises of elected group of individuals with following duties:

- Establish corporate objectives
- Develop strategy and broad policies
- Select top-level personnel to carry out these objectives
- Review management's performance
- Protect stakeholder interests
- Investor relations, etc.

Guidelines: board composition and structure

— Corporate boards vary in size, composition and structure

— Typically between 9 and 11 members

— Majority *outside* (not company managers) directors

— May include CEOs of other companies, major shareholders, bankers, former government officials, academics, etc.

— Average tenure is 8-10 years

— Share of outside directors or female representation on boards mandated by varied quotas and regulations

One-tier and two-tier system

One-tier system

- Common in the US
- One board only: executive board
- The executive directors and the supervisors (or the non-executive directors) are combined in one management body
- Example: amazon

Two-tier system

- Common in many EU countries
- Two boards: executive board(made up of CEO and other insiders) and supervisory board (made up of outsiders + independent chairperson, often of labor representatives)
- The directors and the supervisory board are two separate bodies
- Example:

https://www.volkswagenag.com/en/group/executive-bodies.html

Board functions

- Through board committees and general sessions
- Important committees include:
  - Compensation comm. – approves salaries and other benefits of top managers
  - Nominating comm. – recommends candidates for officers and directors
  - Audit comm. – reviews financial reports, appoints auditors
  - Specialized comm. (i.e. for CSR also founds in some boards)

Effective boards are central to well-functioning companies

Tuesday, 7 May, 2002, 16:43 GMT 17:43 UK

Enron directors plead innocence

The directors are trying to clear their names

Four Enron directors have washed their hands of any blame in the collapse of the energy giant.

http://news.bbc.co.uk/2/hi/business/1973489.stm

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Key features of effective boards

- Select outside directors to fill most positions
- Hold open elections for members of the board
- Hold elections for all directors annually
- Appoint an independent lead director (i.e. splitting roles between CEO and board chairperson)
- Diversify board membership (i.e. skills, gender, experience, age, ..)

How would you judge the Board of Directors of Facebook? Any suggestions on how to improve it, if necessary?

https://investor.fb.com/leadership-and-governance/default.aspx

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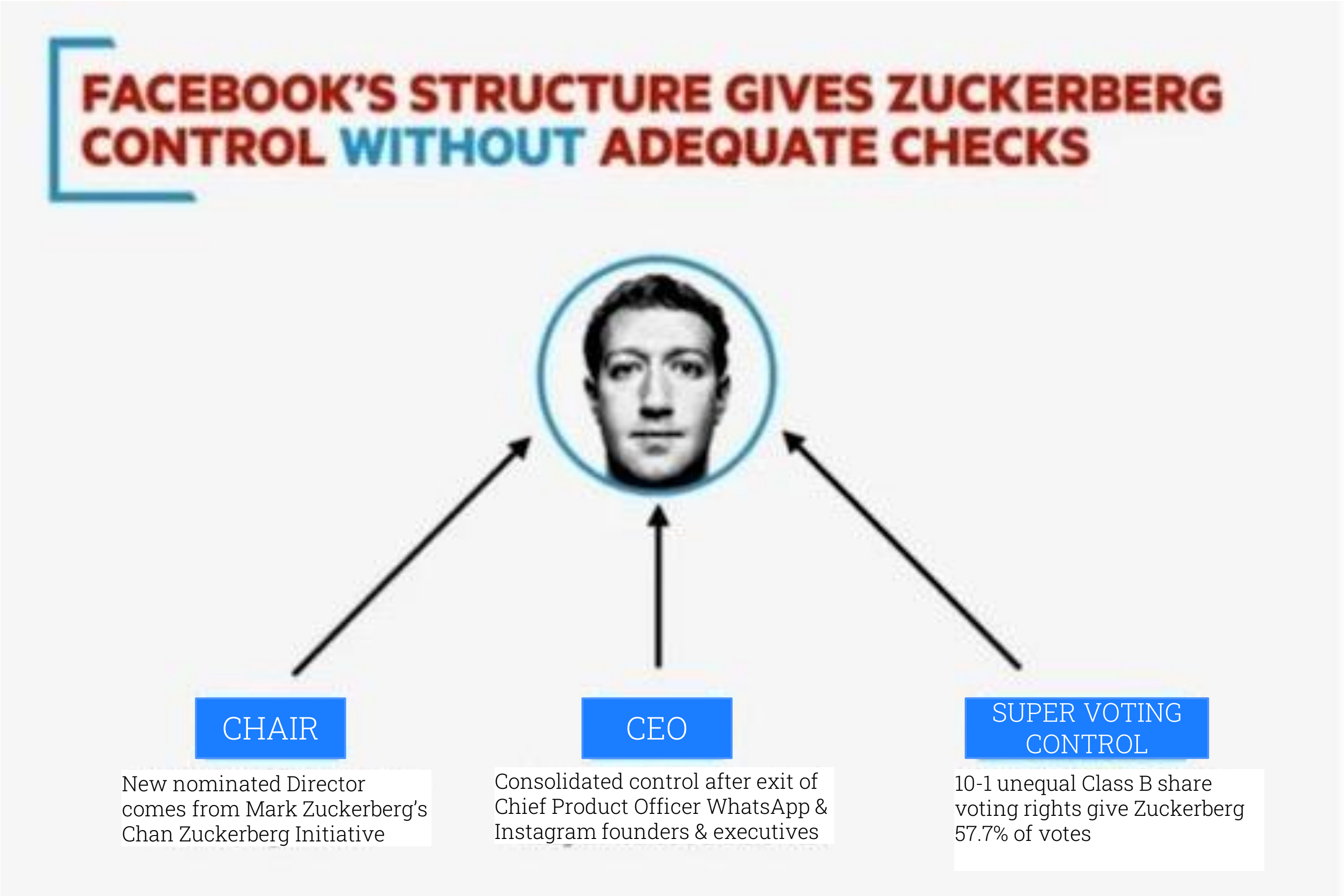

FACEBOOK'S STRUCTURE GIVES ZUCKERBERG CONTROL WITHOUT ADEQUATE CHECKS
CHAIR
New nominated Director comes from Mark Zuckerberg's Chan Zuckerberg Initiative
CEO
Consolidated control after exit of Chief Product Officer WhatsApp & Instagram founders & executives
SUPER VOTING CONTROL
10-1 unequal Class B share voting rights give Zuckerberg 57.7% of votes

3.0

THE AGENCY PROBLEM

Agency problem

- Modern corporations have separated ownership and control

- Owners/shareholders do not manage day-to-day company operations which is left to managers/hired professionals

Will managers (agents) act in the interests of shareholders (owner principals) instead of their own?

Agency relationship

- An agency relationship is a contract according to which the principal delegates an agent to fulfil a task which implies a power, for the agent itself, to take decisions in name of the principal
- Primary function of boards is to keep a watch on managers

CONFLICT OF INTERESTS

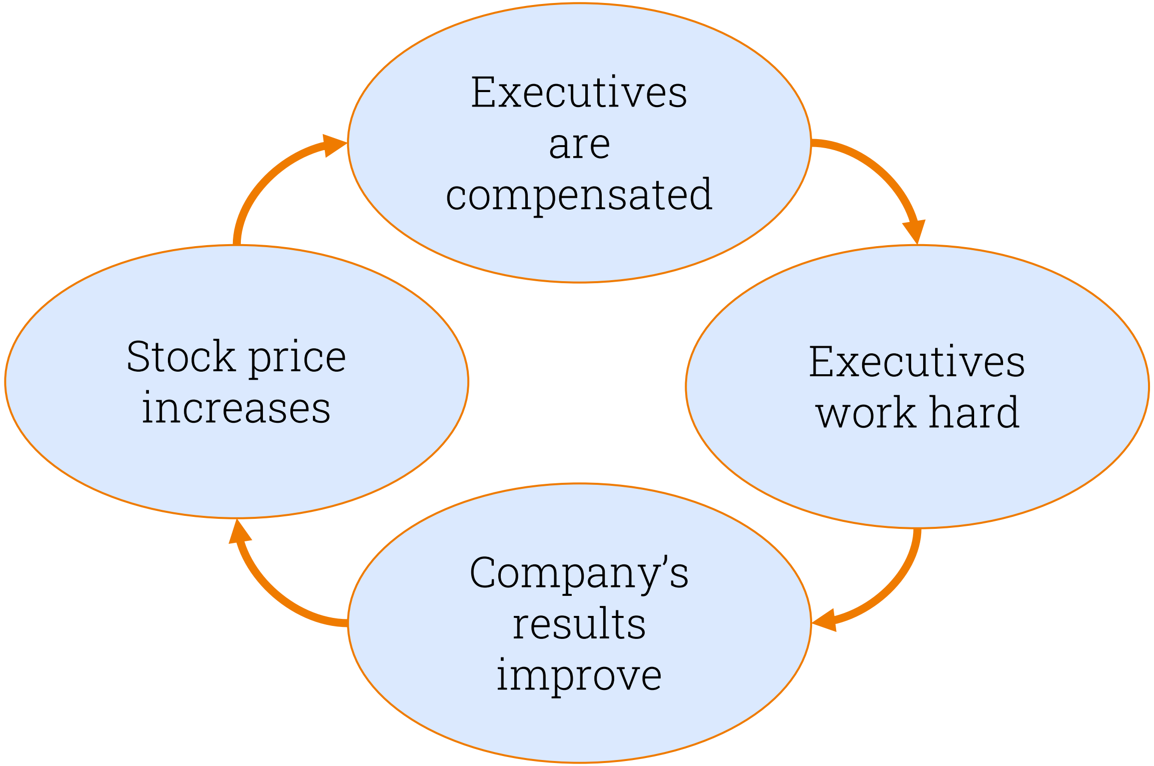
If both principal and agent are utility maximizers, the agent will probably act in his/her interest rather than in the interest of the principal

SAFEGUARD MECHANISMS

The principal will be compelled to arrange safeguard mechanisms (contracts, controls, incentives, guarantees,...) which are often extremely costly

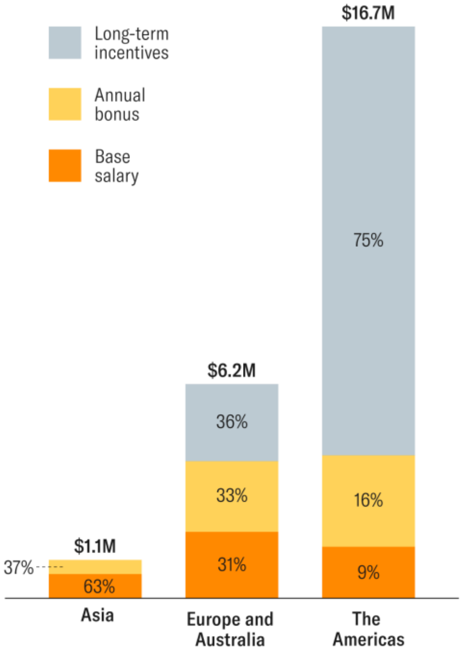
Aligning owner-manager incentives through executive compensation

- Pay-for-performance through granting of stock options
- A possible danger is that executives' fixation to performance pay may involve unethical practices



CEO compensation design

Median CEO Total Compensation, by Region



How Industries Compare on the Four Dimensions of Compensation Design

When setting executive pay, companies must decide how much will be variable or fixed, awarded in the short term versus the long term, delivered in the form of equity versus cash, and tied to group versus individual performance. Compensation committees often use the pay practices of their firms' peers as benchmarks. Here are the norms in selected industries.

Variable vs. Fixed Direct compensation is made up of a fixed base salary (paid in cash) and incentives contingent upon achieving certain goals.

Long-term vs. Short-term Incentives may be paid the year goals are achieved or deferred and paid over several years. Companies that want to promote fast change tend to emphasize short-term rewards.

Equity vs. Cash Stock and options usually represent a larger share of compensation than cash does. The business's maturity and geography often affect the mix.

Group vs. Individual Organizational culture and values will have an impact on how much pay a company ties to achieving group goals and individual ones.

INDUSTRY	VARIABLE	FIXED	LONG-TERM	SHORT-TERM	EQUITY	CASH	GROUP	INDIVIDUAL
Information technology	86%	14%	83%	17%	71%	29%	79%	21%
Energy	85	15	81	19	68	32	77	23
Telecommunication services	85	15	80	20	66	34	75	25
Consumer staples	83	17	77	23	66	34	74	26
Real estate	83	17	70	30	58	42	70	30
Consumer discretionary	82	18	70	30	57	43	70	30
Health care	82	18	70	30	55	45	69	31
Financials	79	21	69	31	55	45	67	33
Industrials	79	21	69	31	55	45	67	33
Materials	79	21	67	33	55	45	66	34
Utilities	78	22	60	40	47	53	63	37

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How to incentivize directors?
The Facebook way

FACEBOOK, INC.

STOCK OWNERSHIP GUIDELINES

(ADOPTED SEPTEMBER 6, 2018 AND AMENDED MAY 27, 2020)

Facebook, Inc. (the "***Company***") believes that in order to further align the interests of the Company's "executive officers" (within the meaning of Rule 3b-7 of the Securities Exchange Act of 1934, as amended (the "***Exchange Act***")) ("***Executive Officers***") and the non-employee members of the Company's Board of Directors (the "***Board***," and such non-employee members, "***directors***") with those of its stockholders, its Executive Officers and directors should have a financial stake in the Company. These stock ownership guidelines (the "***Guidelines***") were adopted as of September 6, 2018 (the "***Effective Date***") and amended as of May 27, 2020 (the "***Amendment Date***"). Such Executive Officers and directors are required to own the following minimum number of shares:

- Executive Officers: shares with a value equivalent to four million dollars ($4,000,000); or
- Directors: shares with a value equivalent to seven hundred and fifty thousand dollars ($750,000).

4.0

PROTECTION OF SHAREHOLDER INTERESTS

Protection of shareholder interests

— Financial disclosure and insider trading regulated by government agencies such as Securities and Exchange Commission (SEC) in the US

- **Financial disclosure** in company annual reports is **mandatory**
- **Insider trading** occurring when access to confidential company information is used to buy/sell stock is **illegal**

— Shareholder activism (i.e. aggressive voting and campaigning; owning and selling stock in companies with better environmental, social and governance records)

An example of investor pressure

Danone shares rise as activist investor starts piling on the pressure

Published: Jan. 19, 2021 at 3:27 p.m. ET

By Lina Saigol

Danone's share price has lagged behind rivals Nestlé and Unilever

Danone chairman and CEO E

A London-based activist investor is calling for Danone to replace its chairman and chief executive Emmanuel Faber, following what it says has been a "disappointing" share-price performance under his leadership at the multinational food and drinks group.

In a letter sent to Michel Landel, lead independent director at Danone BN, 2.51%, on Nov. 19, Bluebell Capital Partners urged the company's board to start the search for a new chief executive and recommended that the chairman and CEO roles be split.

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SUMMARY OF MAIN POINTS

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In summary

- Individuals and institutions own company shares to make money and further their social objectives
- Board of directors are primarily responsible for managing the company
- Executive compensation serves as a necessary incentive for top executives to manage the corporation
- Shareholders can influence corporate actions in several ways when the feel that their interests/objectives are sidelined
- Several governmental mechanisms exist that protect shareholder interests

THANKS.

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